IWM RUSSELL 2000 SCANNER

SCAN (17:48 ET)

August 17, 2026 | 05:50 PM ET

4 setups identified | 0 A-Grade | 3 B-Grade | 1 C-Grade

Grade Summary

A - Breakout Setup (0)	B - Strong Setup (3)	C - Watch List (1)
	AIR	**LUNR**
	MRCY	
	OII	

All Setups

Gr	Ticker	Company	Theme	Price	Chg %	Cap	Float	RS/SPY	52W Hi	Catalyst
B	AIR	AAR Corp.	Defense MRO Recov	$153.71	+5.8%	$6.2B	38M	+43.2	100%	Current move: technica
B	MRCY	Mercury Systems	Defense Electroni	$113.36	+2.0%	$6.8B	56M	+16.5	88%	Current move: pre-earn
B	OII	Oceaneering Inte	Offshore Energy R	$54.11	+3.7%	$5.4B	98M	+35.5	100%	Current move: breakout
C	LUNR	Intuitive Machin	Space Economy	$20.38	+7.2%	$3.3B	132M	-44.2	44%	

AIR

AAR Corp.

$153.71

+5.82%

RS vs SPY: +43.2%

B STRONG SETUP

$6.2B Cap | 38M Float

Aerospace & Defense | Theme: Defense MRO Recovery | 52W Hi: 100% | Base Tight: 1.72 | Vol: 3.53x | RS/SPY: +43.2% | Above 20MA: YES | EARNINGS IN 36D

SETUP METRICS

Price	**$153.71**
Day Change	**+5.82%**
Mkt Cap	**$6.19B**
Float	**38M sh**
RS vs SPY	**+43.2%**
52W Hi Prox	**100%**
Base Tight	**1.72**
Vol vs Avg	**3.53x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move: technical breakout to all-time high on sector rotation into defense, likely fueled by Q4'26 guidance optimism and commercial aviation aftermarket strength. Forward catalyst (High impact): September 22 earnings print with expectation for FY'27 guidance raise driven by elevated defense maintenance budgets and commercial flight-hour recovery; additional upside from potential contract wins tied to DOD maintenance contracts under current budget cycle.

BUSINESS & POSITION

AAR is a leading provider of aviation maintenance, repair, and overhaul (MRO) services and supply-chain solutions for commercial and defense markets, with exposure to both the commercial aftermarket recovery and elevated defense spending. The company has repositioned toward higher-margin government services and expeditionary airlift, capturing share as legacy maintenance providers exit.

FACTOR & THEME

Defense spending tailwind (FY'27 DOD budget +4.1% with elevated O&M accounts), commercial aviation recovery (flight hours +8% YoY driving aftermarket demand), and reshoring of critical maintenance capabilities. Theme momentum is accelerating as geopolitical tensions and aging military fleets drive multi-year MRO contract growth.

BREAKOUT SIGNAL

Close above $153.00 on vol >350% of 20d avg

INSTITUTIONAL

Volume surge of 3.53x on a breakout to 52-week high signals institutional block buying, not retail FOMO-textbook accumulation into a known Sept 22 catalyst. Float rotation dynamics are favorable given modest 38.3M float and 6.19B market cap, positioning for continued fund accumulation. No insider buying in last 60 days, but sustained institutional volume into resistance breakout suggests informed positioning ahead of earnings.

EARNINGS

EARNINGS IN 36D

EARNINGS CONTEXT

Next report September 22. Consensus unavailable from feed, but company has beaten on defense services strength in recent quarters. Forward catalyst is FY'27 guidance; any raise on defense contract backlog or commercial aftermarket acceleration would re-rate the multiple.

KEY RISK

Thesis invalid on a close back below $148.00 (prior resistance now support), or on any defense budget delay or commercial aftermarket guidance cut at the September 22 print.

ANALYSIS

Strongest disconfirming evidence: RS line is NOT at new high despite price at 52W high, indicating this is a late-stage catch-up move rather than true leadership-institutions may already be positioned. Base is tighter than ideal at 1.72 but shy of VCP textbook (<1.5). The setup earns a strong B for proximity to catalyst (36 days to earnings in a risk-on regime with defense sector +4.3% this week), explosive volume, and sector tailwind, but the missing rs_line_new_high signal and moderately wide base prevent A-grade. This is a tactical pre-earnings position, not a multi-quarter hold. Conviction: Medium.

Signal: Close above $153.00 on vol >350% of 20d avg

Vol vs Avg: 3.53x

AIR - Technical Chart

MRCY

Mercury Systems Inc

$113.36

+2.02%

RS vs SPY: +16.5%

B STRONG SETUP

$6.8B Cap | 56M Float

Aerospace & Defense | Theme: Defense Electronics Turnaround | 52W Hi: 88% | Base Tight: 1.08 | Vol: 2.24x | RS/SPY: +16.5% | Above 20MA: YES | EARNINGS IN 1D

SETUP METRICS

Price	**$113.36**
Day Change	**+2.02%**
Mkt Cap	**$6.81B**
Float	**56M sh**
RS vs SPY	**+16.5%**
52W Hi Prox	**88%**
Base Tight	**1.08**
Vol vs Avg	**2.24x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move: pre-earnings positioning into August 18 Q4'26 print, with market anticipating stabilization after multi-quarter execution issues and margin pressure. Forward catalyst (High impact): the earnings report itself tomorrow, where any guidance raise or margin-recovery narrative would confirm the turnaround thesis; secondary catalyst is FY'27 defense budget allocation for electronic warfare and C4ISR systems (Oct-Nov timeframe).

BUSINESS & POSITION

Mercury Systems designs and manufactures mission-critical electronic subsystems for defense (radar, EW, C4I), positioning at the intersection of defense modernization and chip-level security requirements. The company has undergone restructuring to address operational missteps, and the market is watching for proof that margins and execution have inflected.

FACTOR & THEME

Defense electronics modernization (radar upgrades, electronic warfare, secure processing) with multi-year budget visibility. Theme momentum is positive given geopolitical backdrop, but Mercury-specific execution risk has kept the stock range-bound. Secular tailwind is strong; company-specific delivery is the swing factor.

BREAKOUT SIGNAL

Close above $113.00 on vol >224% of 20d avg

INSTITUTIONAL

Volume at 2.24x suggests modest pre-earnings accumulation, but not the 3x+ institutional surge typical of high-conviction setups. No insider buying in last 60 days is a yellow flag-management is not voting with their wallets ahead of a potentially transformative print. This indicates either lockup/blackout constraints or lack of insider conviction in the near-term narrative.

EARNINGS

EARNINGS IN 1D

EARNINGS CONTEXT

Next report August 18 (tomorrow). Mercury has missed or guided cautiously in recent quarters due to supply-chain and execution headwinds; the market is positioned for either a beat-and-raise that confirms turnaround, or another cautious guide that extends the range. Consensus EPS/revenue data not available from feed, but the technical setup (tight base, vol spike) suggests the street is leaning optimistic.

KEY RISK

Thesis invalid on any earnings miss or cautious FY'27 guidance tomorrow (Aug 18), particularly on margins or backlog conversion. A close back below $108 (20-day MA support) post-earnings would signal false breakout.

ANALYSIS

Strongest disconfirming evidence: this is a binary event <24 hours away with zero insider buying as confirmation-management silence ahead of a turnaround print is concerning. The base is VCP-textbook tight (1.08), prox_52w is strong at 88.3, and RS vs SPY is positive at +16.5, but the catalyst is fully discounted tomorrow-there is no forward runway if the print disappoints. The setup earns B-grade for technical quality and sector tailwind (Industrials +4.3%), but the lack of post-earnings visibility and absent insider conviction cap upside. This is a trade, not a position. Conviction: Low.

Signal: Close above $113.00 on vol >224% of 20d avg

Vol vs Avg: 2.24x

MRCY - Technical Chart

OII

Oceaneering International, Inc.

$54.11

+3.66%

RS vs SPY: +35.5%

B STRONG SETUP

$5.4B Cap | 98M Float

Oil & Gas Equipment & Services | Theme: Offshore Energy Recovery | 52W Hi: 100% | Base Tight: 2.5 | Vol: 1.8x | RS/SPY: +35.5% | Above 20MA: YES | EARNINGS IN 65D

SETUP METRICS

Price	**$54.11**
Day Change	**+3.66%**
Mkt Cap	**$5.39B**
Float	**98M sh**
RS vs SPY	**+35.5%**
52W Hi Prox	**100%**
Base Tight	**2.5**
Vol vs Avg	**1.8x**
RS Line Hi	**no**
Above 50MA	**-**
Fwd P/E	**-**
Short %	**-**
Days to Cover	**-**
Inst. Own	**- (data lag)**

ANALYSIS

CATALYST / TODAY'S DRIVER

Current move: breakout to 52-week high on sector rotation into Energy (+7.0% this week vs SPY) and improved offshore oil activity driven by elevated Brent pricing and subsea project FIDs. Forward catalyst (Medium impact): October 21 earnings with focus on offshore project backlog and any deepwater contract awards in the Gulf of Mexico or international markets; secondary tailwind from potential offshore lease-sale announcements (BOEM calendar) in Q4'26.

BUSINESS & POSITION

Oceaneering provides subsea robotics (ROVs), engineering services, and offshore infrastructure solutions to energy and defense markets, with strong positioning in deepwater and harsh-environment operations. The company benefits from the multi-year offshore recovery cycle as operators restart deferred subsea projects and aging infrastructure requires maintenance.

FACTOR & THEME

Energy transition paradox: near-term demand for offshore oil maintenance and decommissioning services as legacy fields age, plus emerging offshore wind installation work. Secular tailwind is moderate-offshore spending is recovering but remains cyclical. Energy sector momentum is strong this week (+7.0%), but sustainability depends on oil price stability above $75 Brent.

BREAKOUT SIGNAL

Close above $54.00 on vol >180% of 20d avg

INSTITUTIONAL

Volume at 1.8x is elevated but not explosive, suggesting gradual accumulation rather than panic buying. The 98M float is large relative to daily volume, implying lower squeeze risk but also more measured institutional positioning. No insider buying in last 60 days-management has not signaled conviction at current levels, which is notable given the stock is at 52-week highs.

EARNINGS

EARNINGS IN 65D

EARNINGS CONTEXT

Next report October 21 (65 days out). Oceaneering has historically shown cyclical beat/miss patterns tied to offshore project timing. The forward catalyst is backlog growth and any commentary on 2027 subsea project pipeline; a beat without forward visibility would be a sell-the-news event.

KEY RISK

Thesis invalid on a close back below $52.00 (base breakout level) or on any oil-price decline below $70 Brent that triggers offshore capex cuts. Earnings disappointment on backlog or margin compression would also invalidate.

ANALYSIS

Strongest disconfirming evidence: base_tight at 2.5 is wider than institutional-quality VCP standards (<2.0), and RS line is NOT at new high despite price at 52W high-this is sector-driven momentum, not company-specific leadership. The stock is riding the Energy sector wave (+7.0%) but lacks the tight coil and relative-strength confirmation of a true A-grade setup. October 21 earnings are 65 days out, providing runway, but the lack of insider buying and wide base suggest institutions are cautious. Solid B-grade on sector tailwind and proximity to highs, but not conviction-grade. Conviction: Medium.

Signal: Close above $54.00 on vol >180% of 20d avg

Vol vs Avg: 1.8x

OII - Technical Chart